Contact:
Lynda Kuhn
416-926-2026
www.canadabread.ca

CANADA BREAD FIRST QUARTER FINANCIAL RESULTS

Toronto, Ontario – April 28, 2005 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the first quarter ended March 31, 2005.

"Our first quarter operating earnings reflect continued strong results, with increased sales and volume across our fresh and frozen bakery operations," said Richard Lan, President and CEO of Canada Bread. "Canada Bread is benefiting from increasing demand for bread products and particularly strong demand in premium nutrition categories and in the foodservice sandwich market. We continue to see opportunity for growth."

Sales for the first quarter increased to $316.9 million from $305.4 million for the prior year period, due primarily to growth in the Fresh Bakery business.

The company recorded restructuring expenses in the quarter of $4.7 million ($3.2 million after tax) to account for several business restructuring initiatives, principally the closure of a bakery in Peterborough, England.

Net earnings for the quarter before restructuring costs were $15.1 million ($0.59 per share) compared to $12.5 million ($0.49 per share) last year. Including restructuring costs, net earnings were $11.9 million ($0.47 per share).

Operating Review

Earnings from operations before restructuring costs increased to $22.0 million compared to $19.4 million last year. Comparisons of earnings from operations exclude $4.7 million of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

The Fresh Bakery's sales grew by 5% to $220.8 million, while earnings from operations were $15.0 million compared to $9.9 million in the first quarter last year. Strong sales of

premium nutrition multigrain and specialty breads, operating cost reductions, and price increases that offset inflationary cost increases all contributed to increased earnings for the first quarter. Fresh pasta and sauce earnings increased significantly driven by new U.S. product distribution.

Frozen Bakery sales were up 1% to $96.0 million, due mainly to ongoing growth in the U.K. bakery operations. Operating earnings were down 26% to $7.0 million compared to the first quarter last year primarily due to increased distribution and input costs, including fuel and other costs. This more than offset an increase in sales volumes, particularly in foodservice. In response to these cost increases, the Company is negotiating and implementing price increases. The Company commenced sales of its new FroBake® products in the U.S. late in the quarter, with good early market response.

In order to meet the growing consumer demand for bagels in the U.K., the Company has completed construction of a new bagel facility in Rotherham, U.K. This new facility is now operational and will increase production capacity, improve the quality of product and lower production costs. With the commissioning of this new facility, the Company is closing its bakery in Peterborough, England.

Cash Flow and Financing

Cash flow from operating activities for first quarter was a use of funds of $3.9 million compared to a source of funds of $28.6 million last year. This year over year change was due primarily to an increase in working capital in the first quarter of 2005, due to a reduction in accounts payable and income taxes payable. Capital expenditures increased to $11.9 million from $10.6 million last year, largely due to the installation of new equipment to support the new FroBake® line of products and completion of the new bagel plant in the United Kingdom.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 4, 2005 to shareholders of record on June 17, 2005.

Canada Bread, which is 86.9% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

NNNN